

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-28

WAY INTERGLOBAL NETWORK, LLC

COMPLAINANT,

v.

SHENZHEN UNIFELIX SCM LIMITED

RESPONDENT.

**COMPLAINANT’S RESPONSE TO RESPONDENT’S
MOTION TO DISMISS COMPLAINT**

COMES NOW, Complainant, WAY INTERGLOBAL NETWORK, LLC, by its respective undersigned counsel, and pursuant to 46 C.F.R. §§ 502.69 and 502.70, hereby files its Response to Respondent’s Motion to Dismiss Complaint and, as discussed more fully below, Respondent’s Motion to Dismiss Complaint should be denied.

I. CONCISE STATEMENT OF THE LEGAL BASIS OF THIS RESPONSE

Simply because the claims also involve a breach of contract does not divest the Commission of its jurisdiction. *YSN Imports Inc. d/b/a/ Flame King, Complainant v. Feige “Peggy” Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc.*, 2021 FMC LEXIS 104, *5. The Commission’s jurisdiction extends to any alleged violation of the Shipping Act, which has been specifically alleged in the Complaint. *Chief Cargo Servs. v. FMC*, 586 Fed. Appx. 730, 731 (2nd Cir. 2014). Indeed, the allegations of the Complaint are sufficient

to determine that the respondent has engaged “in an unjust or unreasonable practice or regulation on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4. Additionally, the allegations of the Complaint are such that the claims would fall within the primary jurisdiction of the Commission. *Far East Conference v. United States*, 342 U.S. 570, 574, 96 L. Ed. 576, 72 S. Ct. 492 (1952).

II. RESPONSES TO ANY STATEMENTS OF MATERIAL FACTS

As alleged in ¶15 and ¶16 of the Complaint, the claim is not just in relation to inland demurrage, but also for these charges in relation to the ocean shipping. Thus, the Commission has jurisdiction over the dispute. The services being provided by Respondent were for door-to-door carriage of goods, necessarily involving multi-modal shipments. The Respondent as an NVOCC regulated by the Commission is the entity assessing these detention/demurrage charges as part of the multi-modal shipping services covered under the Shipping Act. The Complaint alleges a distinct injury in fact, caused by the actions of the Respondent, albeit for an ultimate unliquidated amount as the unlawful charges continue to accrue.

III. MOTION TO DISMISS STANDARD

Pursuant to 46 C.F.R. § 502.69(g), a motion to dismiss is considered a dispositive motion. Since 46 C.F.R. §502 does not have express rules governing motions to dismiss, the standards of Rule 12, Fed.R.Civ.P. apply. *Santa Fe Discount Cruise Parking, Inc., d/b/a Ez Cruise Parking; Lighthouse Parking Inc.; and Sylvia Robledo D/b/a 81st Dolphin Parking v. the Board of Trustees of the Galveston Wharves; and the Galveston Port Facilities*, 2014 FMC LEXIS 31.

Under Rule 12, “...a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim ‘has facial plausibility when the plaintiff pleads factual content that allows

the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’ *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to ‘give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.’ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (‘[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.’).” *Id.* at 17 (quoting *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)). “The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179 at *5 (M.D. Tenn. 2014).” *YSN Imports Inc. d/b/a/ Flame King, Complainant v. Feige “Peggy” Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc.*, 2021 FMC LEXIS 104, *3.

A plain reading of the four corners of the Complaint demonstrates that Complainant has sufficiently pled valid claims for relief. When viewed through the lens of Rule 8(e), the Complaint “must be construed to do justice.” Fed. R. Civil P. 8(e). Accordingly, the motion should be denied, or alternatively leave granted to amend the Complaint should any error or deficiency be found in the Complaint, which is denied.

IV. ARGUMENT

A. Complainant has alleged sufficient subject matter jurisdiction.

Respondent attempts to improperly isolate the railyard charges alleged and avoid the ocean freight charges, including demurrage and detention charges that are alleged in the Complaint. As alleged in ¶15 and ¶16 of the Complaint, the claim is not just in relation to inland demurrage, but also for these charges in relation to the ocean shipping. Complainant has made sufficient

allegations to invoke the Commission’s jurisdiction under 46 U.S.C. § 41102(c). “Section 10(d)(1) of the Act provides that a non-vessel-operating common carrier, such as Chief Cargo, ‘may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.’ 46 U.S.C. § 41102(c).” *Chief Cargo Servs. v. FMC*, 586 F. App’x 730, 732 (2d Cir. 2014). Courts have noted that these provisions of the Shipping Act are required to be given “a broad construction to make effective the scheme of regulation the statute established. *United States v. American Union Transp.*, 327 U.S. 437, 447-57, 66 S. Ct. 644, 90 L. Ed. 772 (1946).” *Plaquemines Port, Harbor & Terminal Dist. v. Fed. Mar. Com.*, 267 U.S. App. D.C. 238, 838 F.2d 536, 543 (1988).

As alleged in the Complaint, the Respondent has violated the Shipping Act twenty (20) times in relation to the 20 containers that have been unlawfully detained by Respondent. Indeed, in *Chief Cargo* the allegations sufficient to support a jurisdiction and a “practice” under the Shipping Act were that over a three-month period the respondent released three containers without presentment of an original bill of lading. These actions were described as “multiple similar acts within a short time frame.” *Chief Cargo*, 586 F. App’x at 732. Accordingly, the thrice repeated actions were found to constitute “an unjust and unreasonable practice.” *Id.* (citation omitted). The Complaint alleges twenty (20) such violations; more than enough to establish an unjust and unreasonable practice to invoke the Commission’s jurisdiction.

The Commission should also accept the claims on doctrine of its primary jurisdiction over these matters. The Commission has the agency expertise to address these wrongful acts of an NVOCC. As such, jurisdiction is proper “in cases raising issues of fact not within the conventional experience of judges or cases requiring the exercise of administrative discretion, agencies created by Congress for regulating the subject matter should not be passed over.” *Far East Conference v.*

United States, 342 U.S. 570, 574, 96 L. Ed. 576, 72 S. Ct. 492 (1952). Accordingly, the motion should be denied.

B. Dismissal is not appropriate simply because a breach of service contract is alleged.

Because the Commission has exclusive jurisdiction over matters related to violations of the Shipping Act which another forum is not equipped to handle, this matter is properly brought before the Commission even if there are allegations that could be brought in another forum. “Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties.” *YSN Imports Inc. d/b/a/ Flame King, Complainant v. Feige “Peggy” Oberlander, U Shippers Group Inc., U Shippers Group Management Co., Inc.*, 2021 FMC LEXIS 104, *5. Thus, references to a breach of a service contract, and even the fact that such a claim could be brought in another forum, does not divest the Commission of its jurisdiction.

The references to the service contract provide context of the unjust and unreasonable practices of the Respondent. It is appropriate for the Commission to examine the agreement in determining the reasonableness of the Respondent’s actions. “The Supreme Court has held that the reasonableness standard [under the Shipping Act] requires that the ‘charge levied [must be] reasonably related to the services rendered.’ *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282, 19 L. Ed. 2d 1090, 88 S. Ct. 929 (1968); see also *Baton Rouge Marine Contractors, Inc. v. FMC*, 210 U.S. App. D.C. 393, 655 F.2d 1210 (D.C. Cir. 1981).” *Plaquemines Port*, 267 U.S. App. D.C. 238, 838 F.2d 536, 547. As alleged, the Respondent has failed to substantiate demanded charges, including detention, demurrage, ocean freight, as well as inland rail charges. Such actions occurring twenty (20) times as to the referenced containers constitute an unjust and unreasonable

practice under the Shipping Act. *Chief Cargo*, 586 F. App'x at 732. Accordingly, the motion should be denied.

C. The Complaint meets the *Iqbal* & *Twombly* standards and states an injury with standing.

The Complaint does not simply make allegations that are mere “labels and conclusions.” *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 555, 127 S. Ct. 1955, 1965 (2007). “A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged. *Id.*, at 556, 127 S. Ct. 1955, 167 L. Ed. 2d 929. The plausibility standard is not akin to a ‘probability requirement,’ but it asks for more than a sheer possibility that a defendant has acted unlawfully. *Ibid.*” *Ashcroft v. Iqbal*, 556 U.S. 662, 678, 129 S. Ct. 1937, 1949 (2009).

In ¶8 through ¶18, the Complaint sufficiently alleges and identifies twenty (20) containers that the Respondent as an NVOCC has unlawfully withheld from delivery to Complainant due to the unjust and unreasonable practice of demanding unsubstantiated payments for ocean freight, demurrage, detention, and rail yard charges. Such allegations alone, taken as true, are sufficient to state a claim for violation of the Shipping Act. *Chief Cargo*, 586 F. App'x at 732.

Simply because Complainant’s damages may be unliquidated and continuing does not mean that they are insufficiently pled, nor that they are not indeed suffered. The irony of these arguments by Respondent is that it hides behind the Respondent’s own alleged unfair and unreasonable practices in not providing documentation or other facts to substantiate the wrongfully demanded charges, and the Respondent’s failure to fairly deal and negotiate with Complainant over these charges. If Respondent would supply the information, which will be required in discovery, then Complainant would be able to specify by dollar amount the full scope of its injury and damage. Nevertheless, these unliquidated damages arise from the violation of the Shipping

Act, the breach of contract, and the consequential damages that flow from these wrongful acts. *Graham v. Valley Forge Mil. Acad. & Coll.*, No. 19-1362, 2019 U.S. Dist. LEXIS 205906, at *17-18 (E.D. Pa. Nov. 27, 2019)(addressing the analysis of the grounds to recover unliquidated damages in the context of the jurisdictional amount in controversy).

As clearly stated in the Complaint and admitted in the motion, the Respondent still to this day has unilaterally withheld delivery as to the specific twenty (20) containers. Respondent demands charges be paid that are not substantiated or supported, holding those twenty (20) containers as ransom – a ransom that continues to grow due to Respondent’s unfair and unjust practices. And it now wants to rely upon its unfair and unjust practices to claim that no injury has been suffered. The allegations of the Complaint are sufficient to state a claim that Respondent’s actions have “never been based upon a good faith legal defense, but simply reflected a calculated judgment to fight [WAY] to the end, forcing it to pay in blood, sweat and treasure for every penny eventually collected.” *Capitol Transp., Inc. v. United States*, 612 F.2d 1312, 1323 (1st Cir. 1979)(addressing the knowledge and willfulness of actions to support claims of unjust and unfair means under the Shipping Act). Failure to deliver the cargo is an injury in and of itself. *See generally, Air Prods. & Chems., Inc. v. Ill. C. G. R. Co.*, 721 F.2d 483 (5th Cir. 1983). The fact that the damages cannot be fixed to an exact amount is due to the alleged unfair and unjust practices by the Respondent and it should not be able to hide behind its own wrongful acts. Accordingly, the motion should be denied.

V. CONCLUSION

For the foregoing reasons, the Complaint sufficiently alleges valid claims for the violation of the Shipping Act and is wholly within the Commission’s jurisdiction. Simply because a claim may be brought in another forum does not divest the Commission of its ability to redress the

wrongs alleged. Twenty (20) containers wrongfully detained due to an unjust and unreasonable practice by the Respondent on a normal, customary, and continuous basis, as well as the other alleged violations of the Shipping Act, are sufficiently pled in the Complaint.

WHEREFORE, Complainant, WAY INTERGLOBAL NETWORK, LLC, prays that Respondent's Motion to Dismiss Complaint be denied.

MCLEOD BROCK LAW, PLLC



Lindsey C. Brock III, Esq.
FL Bar No.: 971669
9995 Gate Parkway North, Ste. 400
Jacksonville, Florida 32246
(904) 996-1100 Office Telephone
(904) 996-1120 Facsimile
Primary E-Mail: lindsey@mcleodbrock.com
Secondary E-Mail: jennifer@mcleodbrock.com
**Attorneys for Complainant, Way Interglobal
Network, LLC**

CERTIFICATE OF SERVICE

I hereby certify that I have this 23rd day of December, 2022, served the foregoing document upon Theodore H. Adkinson, Esq. (THA@tradeandcargo.com) by electronic mail, with a courtesy copy to judges@fmc.gov.



Lindsey C. Brock III, Esq.
FL Bar No.: 971669